Foglight

Easy & Compliant Privacy | April 2026

THE PROBLEM

Today, blockchains are fully transparent. Your assets, transactions, and counterparties are visible to everyone. The industry is bringing millions of people onchain, but we're offering worse privacy than even bank accounts.

While privacy solutions exist, they often aren't/can't be compliant with law enforcement & AML regulations. Privacy providers like Tornado Cash & Samourai are being prosecuted & getting prison time. This massive legal risk prevents existing wallets, neobanks, and chains from adopting privacy solutions.

In 2027, the EU's AMLR turns every public blockchain into a surveillance tool worse than any bank. This creates an urgent need for compliant privacy solutions.

THE SOLUTION

Foglight provides per-customer privacy pools where each institutional customer (chain, wallet, neobank) operates its own dedicated pool. The customer holds the viewing key directly, with the same compliance story as a traditional bank: user data is hidden from the public but fully visible to the institution.

Foglight supports private transfers, swaps, lending, memecoin launching/trading, prediction markets, and more. Sub-second client-side ZK proofs on smartphones. Zero protocol fees.

This is the only realistic path to bringing reasonable privacy to regular crypto users while keeping institutions compliant.

HOW IT WORKS

Per-customer pools. Each institutional customer operates its own independent privacy pool powered by Foglight. User data stays siloed within the institution of origin. Settings can be tailored to jurisdictional requirements. Compliance guarantees don't depend on third parties.

KYC at entry. Each institution operates its own KYC filter as the entry point into its privacy pool. This enables compliance with stringent AML regulations like the EU's AMLR. If a malicious user is discovered, Foglight enables tracing back to the institution's original KYC record.

Encrypted transactions. Each transaction is encrypted onchain with the customer's key. The customer can decrypt at any time, no user cooperation required beyond initial ToS consent. Same compliance story as a bank holding customer data.

Plug-and-play on any EVM. Foglight deploys on any EVM chain. No need for a separate L1 (unlike Tempo Zones). Customers don't fragment liquidity or rebuild their ecosystem on a new chain.

Built with Noir + UltraHonk. ZK circuits in Noir, proofs generated by UltraHonk (Aztec's Barretenberg). No trusted setup ceremony. Sub-second client-side proving on smartphones. Smart contracts written in Lean using Verity for formal verification.

No relayers. Foglight uses existing ERC-4337 bundlers & paymasters for submitting transactions. Significantly reduces legal liability, cuts operational costs, and gives users gas abstraction out of the box.

BUSINESS MODEL

Foglight charges institutional customers an annual SaaS license, scaled by user count. Pricing benchmark: compliance infrastructure providers like Chainalysis and Predicate command five to six figures per customer per year. The protocol itself is free to use.

Customers pay because compliance isn't optional. Once a privacy product is live, regulators don't allow it to operate without monitoring, reveal management, and SAR reporting. Revenue grows with user count and customer count, two compounding axes. As AML frameworks tighten, willingness to pay increases."

GO TO MARKET

Phase 0: Land first pilot with a crypto-native wallet, chain or neobank. Faster decision cycles, less regulatory friction. Plug into whatever KYC infrastructure the partner is already using. Goal: deliver a live deployment that proves the model and unlocks regulated entity conversations.

Phase 1: Use the Phase 0 pilot as proof point. Three tiers of buyers, each with a distinct catalyst. Crypto-native wallets and chains: privacy as a competitive UX differentiator, fast decision cycles. Regulated neobanks and e-money issuers: meet AMLR 2027 obligations while keeping users on public chain rails instead of losing them to corporate chains. Large incumbents (Coinbase, Binance, MetaMask): enterprise compliance plus a user-facing privacy story, longer sales cycles but highest brand value. Reference customer flywheel compounds at every tier.

WHY NOW

The EU's AMLR comes into effect in 2027, forcing every regulated crypto business (CEXes, neobanks, e-money issuers) to provide full transaction tracing, implement the Travel Rule, and actively monitor suspicious activity. On transparent blockchains, this means user transactions become visible to the institution AND to everyone else watching the chain. Foglight lets institutions meet their compliance obligations while keeping user data private from the public, the same way bank accounts work today.

Major players are already moving on privacy: Circle acquired Gateway (May 2025), Coinbase acquired Iron Fish and is now building a native privacy layer on Base, Tempo launched Zones (per-customer privacy + compliance on their own chain). The infrastructure layer is being built. The compliance and integration layer for existing chains and wallets is what's missing, and is what Foglight provides.

Development in ZK frameworks (Noir + UltraHonk) and consumer hardware now enables sub-second client-side proving on smartphones, with no trusted setup ceremony required. The technology is finally consumer-ready.

THE RAISE

Raising a pre-seed round. Use of funds: smart contract audit, formal verification of ZK circuits, first pilot deployment, and a sales/BD hire to manage the customer pipeline. Path to seed: pilot live and first paying customers within 6 to 9 months.

TEAM

McFly — Operations, compliance, frontend. Building with Zefram since 2017. Cofounded 88mph, Timeless, Bunni.

Zefram — Protocol engineering, product design. Solidity architect behind 88mph, Timeless, Bunni. Deep expertise in DeFi and ZK systems.

Szeth — Frontend and product. Joined 2021 during 88mph. Cofounded Timeless and Bunni. Leads wallet and client-side development.

Track record: Bunni reached $2.5B swap volume and $80M peak TVL. 88mph reached $80M peak TVL.